

SECURITIES AND EXCHANGE COMMISSION

Washington, D.C. 20549

FORM 10-K

(Mark One)

☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 31, 2018

Or

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the transition period from ____ to ____

Commission File Number 001-12345

Adventis Air

Adventis Air Company

(Exact Name of Registrant as Specified in Its Charter)

Nevada

(State or Other Jurisdiction of Incorporation or Organization)

12-3456789

(IRS Employer Identification No.)

123 Main Street

Las Vegas, Nevada

(Address of Principal Executive Offices)

12345

(Zip Code)

Registrant's Telephone Number, Including Area Code: (123) 321-4444

Securities registered pursuant to Section 12(b) of the Act:

Title of each class

Common Stock, \$0.001 Par Value

Name of each exchange on which registered

Nasdaq Global Select Market

Securities registered pursuant to Section 12(g) of the Act:

None

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act.

Yes ☒ No ☐

ADVENTIS AIR COMPANY
CONSOLIDATED BALANCE SHEETS
(in thousands, except share amounts)

	December 31, 2018	December 31, 2017	December 31, 2016
CURRENT ASSETS:			
Cash and cash equivalents	\$ 51,935	\$ 64,317	\$ 79,903
Restricted cash	11,190	11,647	10,258
Short-term investments	98,722	201,533	184,161
Accounts receivable	24,563	23,667	21,815
Expendable parts, supplies and fuel, net of reserve	17,647	16,797	15,583
Prepaid expenses	23,931	16,277	18,276
Other current assets	4,904	5,541	3,264
TOTAL CURRENT ASSETS	232,892	339,779	333,260
Property and equipment, net of accumulated depreciation	1,214,018	947,292	857,765
Long-term investments	45,094	68,441	63,752
Deposits and other assets	4,422	5,018	2,870
TOTAL ASSETS	\$ 1,496,426	\$ 1,360,530	\$ 1,257,647
CURRENT LIABILITIES:			
Accounts payable	\$ 20,108	\$ 16,010	\$ 6,901
Accrued liabilities	105,127	96,661	115,131
Air traffic liability	210,184	194,001	197,136
Current maturities of notes payable, net of related costs	214,761	86,226	73,069
TOTAL CURRENT LIABILITIES	550,180	392,898	392,237
LONG-TERM DEBT AND OTHER LONG-TERM LIABILITIES:			
Long-term debt, net of current maturities and related costs	549,181	609,034	515,111
Deferred income taxes	118,492	75,338	46,580
Other noncurrent liabilities	3,648	3,269	2,675
TOTAL LIABILITIES:	1,221,501	1,080,539	956,603
COMMITMENTS AND CONTINGENCIES (NOTE 12)			
SHAREHOLDERS' EQUITY:			
Common stock, par value \$.001, 100,000,000 shares authorized	22	22	22
Treasury stock, at cost	(273,639)	(229,803)	(182,373)
Additional paid in capital	221,257	221,257	221,257
Accumulated other comprehensive loss, net	1,211	1,211	1,211
Retained earnings	326,074	287,304	260,927
TOTAL EQUITY	274,925	279,991	301,044
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	\$ 1,496,426	\$ 1,360,530	\$ 1,257,647

Note: Normally only 2017 and 2018 balance sheet figures would be included on a 2018 10-K. For training purposes, we included 2016.

ADVENTIS AIR COMPANY
CONSOLIDATED STATEMENTS OF INCOME
(in thousands, except per share amounts)

	Year ended December 31,		
	2018	2017	2016
OPERATING REVENUE:			
Scheduled service revenue	\$ 802,145	\$ 764,993	\$ 735,563
Ancillary revenue:			
Air-related charges	494,113	465,113	425,133
Third party products	52,707	44,940	40,177
Total ancillary revenue	546,820	510,053	465,310
Fixed fee contract revenue	32,669	31,972	19,747
Other revenue	37,751	34,569	32,384
Total operating revenue	1,419,385	1,341,587	1,253,004
OPERATING EXPENSES:			
Salary and benefits	481,113	462,115	430,996
Aircraft fuel	299,448	283,134	295,313
Station operations	132,581	124,052	102,294
Depreciation and amortization	121,713	110,216	98,097
Maintenance and repairs	113,481	111,070	92,575
Sales and marketing	51,711	45,331	41,394
Aircraft lease rentals	3,098	924	2,326
Other	87,280	81,178	65,649
Total operating expenses	1,290,425	1,218,020	1,128,644
OPERATING INCOME	128,960	123,567	124,360
OTHER (INCOME) EXPENSE:			
Interest income	(6,986)	(8,907)	(9,030)
Interest expense	24,005	22,467	19,674
Other, net	(1,559)	(1,226)	(75)
Total other expense	15,460	12,334	10,569
INCOME BEFORE INCOME TAXES	113,500	111,233	113,791
PROVISION FOR INCOME TAXES	29,851	40,378	41,480
NET INCOME	83,650	70,855	72,311
Earnings per share to common shareholders:			
Basic	\$ 5.61	\$ 4.50	\$ 4.30
Diluted	\$ 5.58	\$ 4.48	\$ 4.28
Shares used for computation:			
Basic	14,922	15,735	16,804
Diluted	14,987	15,813	16,898

ADVENTIS AIR COMPANY
CONSOLIDATED STATEMENTS OF SHAREHOLDERS' EQUITY
(in thousands)

	Common stock	Par Value	Additional paid-in capital	Other income (loss)	Retained earnings	Treasury Shares	Company shareholder equity	Noncontrolling interest	Total Equity
Balance at December 31, 2015	17,413	\$ 22	\$ 221,257	\$ 1,211	\$ 232,323	\$ (125,396)	\$ 329,417	\$ —	\$ 329,417
Issuance of common stock, net of forfeitures	12	—	—	—	—	—	—	—	—
Shares repurchased by the Company and held as treasury shares	(1,282)	—	—	—	—	(59,413)	(59,413)	—	(59,413)
Stock issued under employee stock purchase plan	53	—	—	—	—	2,436	2,436	—	2,436
Cash dividends declared	—	—	—	—	(43,707)	—	(43,707)	—	(43,707)
Net income (loss)	—	—	—	—	72,311	—	72,311	—	72,311
Balance at December 31, 2016	16,196	\$ 22	\$ 221,257	\$ 1,211	\$ 260,927	\$ (182,373)	\$ 301,004	\$ —	\$ 318,004
Issuance of common stock, net of forfeitures	24	—	—	—	—	—	—	—	—
Shares repurchased by the Company and held as treasury shares	(1,044)	—	—	—	—	(52,413)	(52,413)	—	(52,413)
Stock issued under employee stock	99	—	—	—	—	4,983	4,983	—	4,983
Cash dividends declared	—	—	—	—	(44,478)	—	(44,478)	—	(44,478)
Net income	—	—	—	—	70,855	—	70,855	—	70,855
Balance at December 31, 2017	15,275	\$ 22	\$ 221,257	\$ 1,211	\$ 287,304	\$ (229,803)	\$ 279,991	\$ —	\$ 279,991
Issuance of common stock, net of forfeitures	9	—	—	—	—	—	—	—	—
Shares repurchased by the Company and held as treasury shares	(775)	—	—	—	—	(47,441)	(47,441)	—	(47,441)
Stock issued under employee stock purchase plan	59	—	—	—	—	3,605	3,605	—	3,605
Cash dividends declared	—	—	—	—	(44,480)	—	(44,880)	—	(44,880)
Net income	—	—	—	—	83,650	—	83,650	—	83,650
Balance at December 31, 2018	14,568	\$ 22	\$ 221,257	\$ 1,211	\$ 326,074	\$ (273,639)	\$ 327,799	\$ —	\$ 327,799

ADVENTIS AIR COMPANY
CONSOLIDATED STATEMENTS OF CASH FLOWS
(in thousands)

	Year ended December 31,		
	2018	2017	2016
OPERATING ACTIVITIES:			
Net income	\$ 83,650	\$ 70,855	\$ 72,311
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	121,713	110,216	98,097
Loss on aircraft and other equipment disposals	637	(2,277)	(270)
Provision for obsolescence of expendable parts, supplies and fuel	(850)	(1,214)	(952)
Share-based compensation expense	3,605	4,983	2,436
Deferred income taxes	43,154	28,758	6,599
Changes in certain assets and liabilities:			
(Increase) decrease in accounts receivable	(896)	(1,852)	(2,703)
(Increase) decrease in prepaid expenses	(7,654)	1,999	(2,945)
Increase (decrease) in accounts payable	4,098	9,109	(809)
Increase (decrease) in accrued liabilities	8,466	(18,470)	9,799
Increase (decrease) in air traffic liability	16,183	(3,135)	18,215
Other, net	596	(2,148)	1,125
Net cash provided by operating activities	272,702	196,824	200,903
INVESTING ACTIVITIES:			
Purchase of investment securities	(323,300)	(444,532)	(307,546)
Proceeds from maturities of investment securities	449,915	421,082	373,816
Purchase of property and equipment, including capitalized interest	(388,439)	(199,743)	(252,686)
Other investing activities	379	594	(1,312)
Net cash used in investing activities	(261,445)	(222,599)	(187,728)
FINANCING ACTIVITIES:			
Cash dividends paid to shareholders	(44,880)	(44,478)	(43,707)
Proceeds from the issuance of debt	257,540	161,160	151,000
Repurchase of common stock	(47,441)	(52,413)	(59,413)
Principal payments on debt	(188,858)	(54,080)	(47,930)
Net cash provided by (used in) financing activities	(23,639)	10,189	(50)
Net change in cash and cash equivalents	(12,382)	(15,586)	13,125
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	64,317	79,903	66,778
CASH AND CASH EQUIVALENTS AT END OF PERIOD	\$ 51,935	\$ 64,317	\$ 79,903